
Competition and Consumer Act 2010

Variation to an Undertaking given to the Australian Competition and Consumer Commission under section 87B

Given by Flinders Port Holdings Pty Ltd ACN 117 687 313

1. Person giving this Variation

- 1.1 This Variation is given to the Australian Competition and Consumer Commission (ACCC) by Flinders Port Holdings Pty Ltd ACN 117 687 313 on behalf of itself and its Subsidiaries (together referred to as **Flinders Ports** in the Undertaking and the Variation).

2. Background

- 2.1 On 9 September 2008, the Australian Competition and Consumer Commission (ACCC) accepted an undertaking (the **Undertaking**) under section 87B of the *Trade Practices Act 1974* (now cited as the *Competition and Consumer Act 2010*) (the **Act**) from Flinders Ports in connection with the Joint Venture.
- 2.2 Flinders Ports has applied to the ACCC to vary the Undertaking with the purpose of remedying any ACCC competition concerns that may otherwise arise from the Proposed Acquisition.

3. Commencement

- 3.1 This Variation comes into effect when:
- (a) this Variation is executed by the Parties;
 - (b) this Variation so executed is accepted by the ACCC; and
 - (c) the Proposed Acquisition is completed.

4. Variation to the Undertaking section titled 'Background'

- 4.1 After paragraph I in 'Background'

Insert:

- "J The sale of DP World (SA) Pty Ltd by DP World triggered a right for Flinders Ports to acquire the 60% share capital in ACT held by DP World (SA) Pty Ltd. Flinders Ports intends to exercise its right, leading to the Proposed Acquisition.
- K This Undertaking has been varied to take account of the changed circumstances due to the Proposed Acquisition. That is, as a result of the Proposed Acquisition, Flinders Ports will own 100% of ACT. Therefore, Flinders Ports may have an incentive and ability to discriminate in favour of ACT and raise barriers to entry for a third party to operate a second container terminal in competition with ACT and Flinders Ports."

5. Variation to clause 1.1 – Defined terms

5.1 Clause 1.1

Insert:

“Development means an action relating to any part of the Relevant Land which is inconsistent with the operation of a second container terminal by a third party on the Relevant Land.”

5.2 Clause 1.1 (definition of **Joint Venture)**

After “its Related Bodies Corporate”, insert “which terminated with the completion of the Proposed Acquisition”

5.3 Clause 1.1 (definition of **Present Container Terminal)**

Omit “which is proposed to be operated by the Joint Venture until 30 April 2039”, substitute:

“which was proposed to be operated by the Joint Venture until 30 April 2039 but which is now operated by Flinders Ports following completion of the Proposed Acquisition.”

5.4 Clause 1.1

Insert:

“Proposed Transaction means any:

- (a) Development of the Relevant Land by any party including Flinders Ports;
- (b) grant of any interest in the Relevant Land to any party including Flinders Ports; or
- (c) award of the Second Licence to any party including Flinders Ports.”

5.5 Clause 1.1 (definition of **Termination Date)**

Omit

6. Variation to clause 2 – Term of Undertaking

6.1 Clause 2.2 Termination

Omit

7. Insertion of clause 2A – Cessation of ongoing obligations

7.1 After clause 2,

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Insert:

“2A. Cessation of ongoing obligations

2A.1 Withdrawal

This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to the withdrawal of this Undertaking in accordance with section 87B of the Act

2A.2 Revocation

The ACCC may, at any time, revoke its acceptance of:

- (a) the Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading;
- (b) the Variation if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading; or
- (c) the Undertaking or any variation to it, if in all the circumstances, and having regard to section 2 of the Act, the ACCC forms the view that the Undertaking or any variation to it, is no longer required.”

8. Variation to clause 3 – Undertaking regarding the Second Licence and the Relevant Land

8.1 Clause 3.1

Before “Flinders Ports must, prior to”, insert “Subject to clause 3.1A and clause 3.2”

8.2 Clause 3.1

Omit:

“granting any interest in the Relevant Land or awarding the Second Licence to any third party (including the Joint Venture) (the Proposed Transactions)”,

substitute “engaging in a Proposed Transaction”

8.3 Clause 3.1

After “request to consider the”, omit “the grant of an interest in the Relevant land or the award of the Second Licence”

Substitute:

“the Proposed Transaction”

8.4 Clause 3.1

Insert:

“3.1(aa) a description of the Proposed Transaction”

8.5 Clause 3.1(a)

Omit “third party to whom the interest in the Relevant Land is to be granted and/or the Second Licence awarded” and the following semi-colon, substitute “parties to the Proposed Transaction; and”

8.6 Clause 3.1(b)

After “any proposed lease”, insert a comma and then “licence”

8.7 Clause 3.1(b)

Omit “for the Relevant Land” and the following semi-colon, substitute “pursuant to which the Proposed Transaction will be effected” and then a full stop.

8.8 Clause 3.1(c)

Omit

8.9 After clause 3.1

Insert:

“3.1A Notification not required in relation to certain third parties

Flinders Ports is not required to lodge the notification referred to in clause 3.1 in relation to third parties, such as builders, tradespersons and other contractors, who are engaged to work on any Development of the Relevant Land.”

8.10 Clause 3.2(a)(i)

Omit “(but excluding the Joint Venture)”

8.11 Clause 3.2(a)(ii)

Omit “the allocation of the Expansion Land to the Joint Venture”

Substitute:

“the allocation of the Expansion Land to Flinders Ports or Development of the Expansion Land by Flinders Ports”

8.12 Clause 3.3

Omit “grant an interest in the Relevant Land and/or award the Second Licence”, substitute “engage in a Proposed Transaction”

8.13 Clause 3.4(a)

Omit “the Proposed Transactions”, substitute “a Proposed Transaction”

8.14 Clause 3.4(b)

After “the Commission opposes the”

Omit “the Proposed Transactions”, substitute “a Proposed Transaction”

8.15 Clause 3.4(b)

After “otherwise conclude the”

Omit “Proposed Transactions”, substitute “Proposed Transaction”

9. Variation to clause 4 – Undertaking – Notification of interested third parties

9.1 Clause 4.1(a)

Omit “the grant of any interest in the Relevant Land or the award of the Second Licence”

Substitute:

“that Flinders Ports engage in a Proposed Transaction”

9.2 Clause 4.2(a)(i)

After “month period to request”, omit “the grant of any interest in the Relevant Land or the award of the Second Licence”

Substitute:

“that Flinders Ports engage in a Proposed Transaction”

9.3 Clause 4.2(a)(i)

After “in writing about”, omit “the grant of any interest in the Relevant Land or the award of the Second Licence”

Substitute:

“a Proposed Transaction”

9.4 Clause 4.2(a)(ii)

After “not result in”, omit “the grant of any interest in the Relevant Land or the award of the Second Licence”

Substitute:

“Flinders Ports engaging in a Proposed Transaction”

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10. Disclosure of the Variation

10.1 Flinders Ports and the ACCC agree that this Variation will remain confidential until the earlier of:

- (a) the completion of the Proposed Acquisition; or
- (b) knowledge of the Proposed Acquisition enters the public domain.

10.2 Flinders Ports acknowledges that the ACCC may, subject to clause 10.1:

- (a) make this Variation publicly available;
- (b) publish this Variation on its Public Section 87B Undertakings Register; and
- (c) from time to time publicly refer to this Variation.

11. Defined terms and interpretation

11.1

- (a) Any term defined in the Undertaking and not defined in this Variation has the meaning given in the Undertaking, unless the contrary intention appears.
- (b) Any term defined in this Variation and not defined in the Undertaking has the meaning given in this Variation, unless the contrary intention appears.

11.2 **Dictionary**

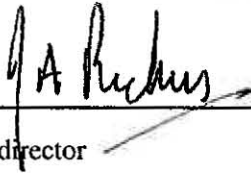
In this Variation:

Proposed Acquisition means the acquisition by Flinders Ports of the remaining share capital in ACT that it does not currently own.

Variation means this variation to the Undertaking.

Executed as a Variation to an Undertaking

Executed by **Flinders Port Holdings Pty Ltd ACN 117 687 313** pursuant to section 127 of the *Corporations Act 2001*



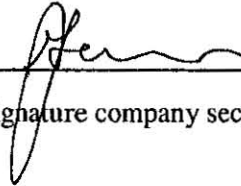
Signature of director

Mr John Rickus

Name of director (print)

7 April 2011

Date



Signature company secretary

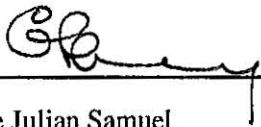
Mr Mark Travers

Name of director/company secretary (print)

7 April 2011

Date

Accepted by **The Australian Competition and Consumer Commission** pursuant to section 87B



Graeme Julian Samuel
Chairman

29 April 2011

Date:

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